Eight

Administrative Changes after 1858

The Revolt of 1857 gave a severe jolt to the British administration in India and made its reorganisation inevitable. The Government of India's structure and policies underwent significant changes in the decades following the Revolt. But more important for changes in. Indian economy and government was the inauguration of a new stage of colonialism in India.

The second half of the nineteenth century witnessed the spread and intensification of the Industrial Revolution. Gradually, other countries of Europe, the USA and Japan underwent industrialisation, and the manufacturing and financial supremacy of Britain in world economy came to an end. Intense world-wide competition for markets, sources of raw materials and outlets for capital investment now began. The competition for colonies and semi-colonies became increasingly intense and bitter as areas open to fresh colonial domination became scarce. Facing a challenge to its dominant position in world capitalism from newcomers, Britain began a vigorous effort to consolidate its control over its existing empire and to extend it further.

Moreover, after 1850, a very large amount of British capital was invested in railways, loans to the Government of India, and to a smaller extent in tea plantations, coal mining, jute mills, shipping, trade and banking. It was necessary that, to render this British capital secure from economic and political dangers, British rule in India be clamped down even more firmly. Consequently, there was a renewed upsurge of imperial control and imperialist ideology which was reflected in the reactionary policies of the viceroyalties of Lytton, Dufferin, Lansdowne, Elgin and, above all, Curzon.